

Daily Market Summary

July 29, 2026

Market Tone — Today's Session

A recap of how the market traded today — not a forecast.

Today: **-0.49 → Bearish**

Trend (5-day EMA): **-0.19 → Slightly Bearish** — smoothed, the readable day-over-day signal.

Component	Weight	Score
Market data	70%	-0.71
News headlines	20%	-0.20
Fed (rate expectations)	10%	+0.44

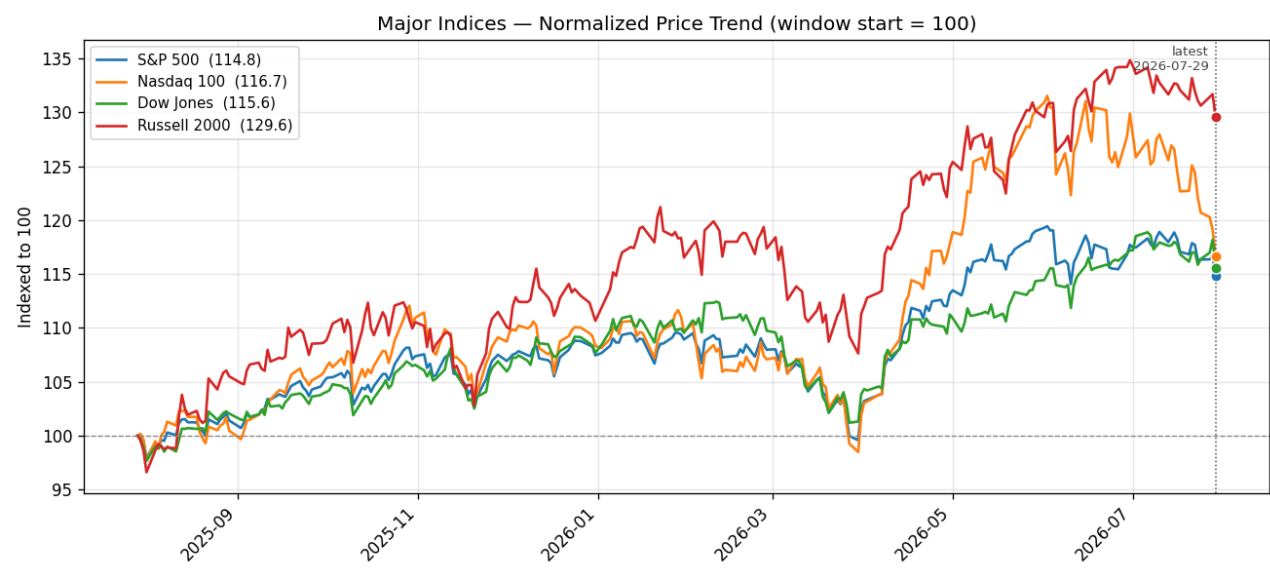
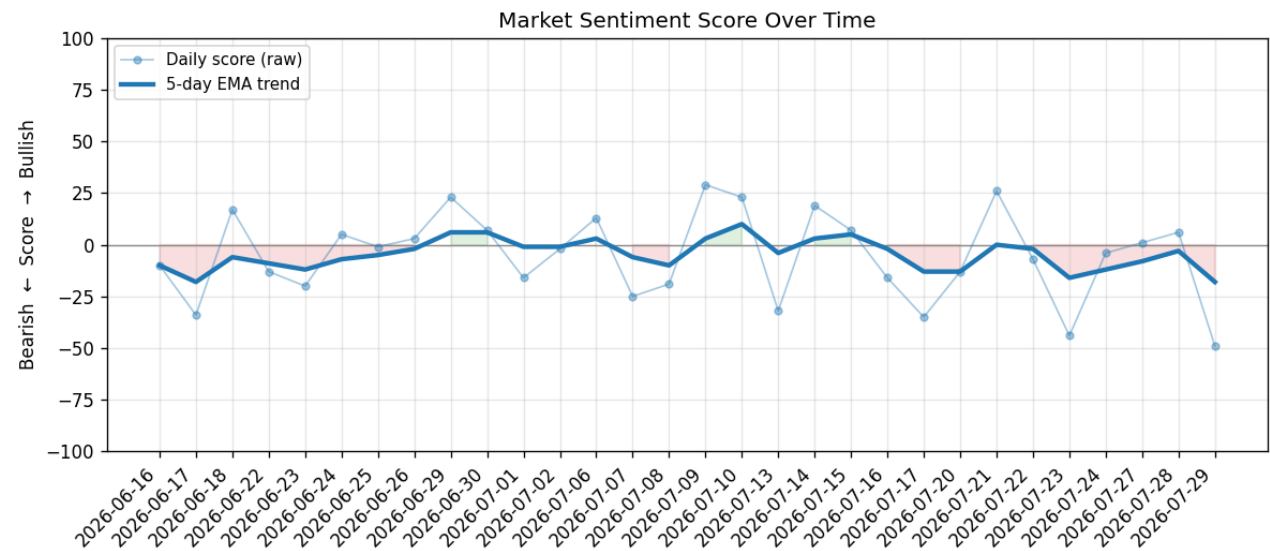
Equities fell with Nasdaq -2.1%, S&P 500 -1.5%, VIX +13.4%. Sector breadth: 2/11 sectors up. 10Y yield +0.4%. News headlines read slightly bearish. Fed-policy expectations eased (13-Week T-Bill Yield -10.2bp). Fresh Fed communications read neutral. Today's overall market tone: Bearish. (news scored with finbert)

Standout headlines

Most bullish (+0.91) — Mortgage and refinance rates today, Wednesday, July 29, 2026: Rates up across the board ahead of Fed rate decision

Most bearish (-0.97) — Qualcomm forecasts weak quarterly profit, expects Apple revenue drop to accelerate

Trend Charts



Sector Watch (AI Stack)

Score describes the day: driven by the session move (70%), with breadth (avg % of the 20/50-day MAs the basket trades above, 15%) and news (15%) for texture. Relative strength (vs the Nasdaq for tech baskets, the S&P for the rest) is shown as a context column but doesn't drive the label. Sorted strongest→weakest.

Sector	Move	Rel. Str.	Breadth	News	Overall
SaaS	+4.64%	+6.70% vs Nasdaq	78%	Slightly Bullish	Bullish (+0.88)
Consumer	+0.58%	+2.10% vs S&P	69%	Neutral	Bullish (+0.37)
Pharma / Healthcare	-0.83%	+0.69% vs S&P	94%	Neutral	Slightly Bearish (-0.20)
Hyperscalers & Neoclouds	-1.82%	+0.24% vs Nasdaq	7%	Slightly Bearish	Bearish (-0.76)
Banking	-3.49%	-1.97% vs S&P	44%	Slightly Bullish	Bearish (-0.79)
Networking / Interconnect	-6.34%	-4.28% vs Nasdaq	0%	Neutral	Bearish (-0.89)
Semiconductors / Compute	-5.31%	-3.25% vs Nasdaq	0%	Neutral	Bearish (-0.90)
Memory (DRAM/NAND/HBM)	-3.82%	-1.76% vs Nasdaq	0%	Neutral	Bearish (-0.90)

Positioning & Regime

Was today bullish or bearish, read through positioning: out-of-the-money put/call volume (hedging vs chasing, daily) and short %-of-float (squeeze fuel; exchange data, biweekly) explain the character of the day's move — squeeze rebound, hedged advance, conviction selling. **Under evaluation** — logged daily, drives no scores.

Basket	OTM P/C	Short Flt	Day	Today's Read
Pharma / Healthcare	0.77	1.8%	-0.83%	Bearish — orderly decline; positioning unremarkable
Banking	0.67	0.0%	-3.49%	Bearish — decline without hedging demand — flows not panicked
SaaS	0.66	5.4%	+4.64%	Bullish — broad advance; positioning unremarkable
Hyperscalers & Neoclouds	0.63	1.7%	-1.82%	Bearish — decline without hedging demand — flows not panicked
Consumer	0.59	2.0%	+0.58%	Bullish — broad advance; positioning unremarkable
Memory (DRAM/NAND/HBM)	0.23	5.7%	-3.82%	Bearish — decline without hedging demand — flows not panicked

Networking / Interconnect	0.23	4.3%	-6.34%	Bearish — decline without hedging demand — flows not panicked
Semiconductors / Compute	0.14	2.4%	-5.32%	Bearish — decline without hedging demand — flows not panicked
All tracked	0.28	2.4%	-1.35%	Bearish — decline without hedging demand — flows not panicked

Bloomberg News Summary

Stocks Fall as 30-Year Bond Yields Surge After Fed | The Close 7/29/2026 (aired 2026-07-29) · Full-transcript summary · [watch on YouTube](#)

Key takeaways

- **Bond market revolt on Fed credibility:** 30-year Treasury yields surged to 5.2%, highest since 2007, while 2-year yields fell 6bps—the steepest curve steepening in a year—as markets rejected Fed Chair Kevin Warsh's inflation-fighting rhetoric despite his insistence on "no soft inflation target"
- **Stocks tumble into correction:** S&P 500 fell 1.5%, Dow dropped 1,000+ points (2%), and Nasdaq 100 declined 2% to close 11% below June highs, entering correction territory amid concerns about Fed inaction and AI capex sustainability
- **Mixed hyperscaler earnings:** Microsoft beat on Azure cloud revenue (43% growth vs 40% expected) and gained from Anthropic investment, rallying shares ~3%; Meta disappointed with weak Q3 guidance despite raising capex floor, falling 6.5% as investors questioned AI ROI
- **Tech spending scrutiny intensifies:** Meta maintained \$130-145B capex guidance (raising only the low end), while bond markets showed widening spreads on AI/data center debt like CoreWeave (down 15 points since June), signaling growing credit market skepticism about hyperscaler spending returns
- **Consumer strength surprises:** Starbucks surged 8% on 7.9% comp sales growth (vs 5.7% expected) and raised guidance; Chipotle also beat, both suggesting resilient consumer spending despite broader economic concerns
- **Warsh's credibility test fails:** Despite three FOMC dissents favoring hikes and persistent inflation concerns (especially Middle East energy prices), Chair Warsh held rates steady, prioritizing supply-side solutions and committee task forces over immediate action

Guest views

- **Ken Shinoda** (bond analyst): Long bonds are revolting because Warsh appeared more dovish than expected—markets want rate hikes to fight inflation but he had no good answer when pressed; favor short-end positioning and avoid overexposure to AI/hyperscaler debt given widening spreads
- **Mandeep Singh** (Bloomberg Intelligence): Meta's capex discipline on memory pricing is positive but topline guidance disappointed; Microsoft's bundling strategy with Copilot (10M paid seats, doubled from last quarter) continues working though OpenAI overexposure remains a concern
- **Alexandra** (global multi-asset): Fed credibility clock is ticking—September hike still in play unless every inflation print improves; markets punishing duration assets and high-beta AI names (down 30%+); prefer 5-year corporate bonds with 100-150bps spreads
- **Rishi** (RBC Capital Markets): Microsoft crushed Azure expectations and Office Copilot adoption, with flexibility to bring third-party capacity in-house if overbuilding occurs; multimodal AI strategy and OpenAI IP rights through 2032 provide competitive moat
- **Scott** (Wedbush Securities): Meta's ROI visibility problem—ad business is only clear AI monetization while other initiatives (business AI, compute sales, custom silicon) remain early stage; investors need revenue bridge to justify capex, not just spending announcements
- **Jay Goldberg** (Seaport Research): Qualcomm losing Apple business faster than expected (by end of 2026 vs 2027) while competing against customers building in-house chips; ARM has more credible data center story and better diversification despite volatile float dynamics

Stocks & sectors discussed

Tech names dominated: Microsoft +3% after hours on Azure beat; Meta -6.5% on weak guidance; Qualcomm -3.5% on Apple share loss; ARM -0.6%; semiconductor index weakness continuing 2026's MAG Seven underperformance. Consumer resilience: Starbucks +8%, Chipotle +7% on strong comps. Financials/healthcare benefiting from rotation as equal-weight S&P hits all-time highs while tech-heavy indexes correct.

"Let me reiterate, there is no soft inflation target. There is no soft implicit target, not on this Committee's watch." — Fed Chair Kevin Warsh (statement the bond market decisively rejected)

Top Gainers

Company	Price	% Change
Huron Consulting Group Inc. (HURN)	170.37	+40.37%
Manhattan Associates, Inc. (MANH)	204.02	+21.32%
Lithia Motors, Inc. (LAD)	427.48	+19.30%
ExlService Holdings, Inc. (EXLS)	35.99	+17.88%
CBIZ, Inc. (CBZ)	54.90	+17.56%

Top News

Mortgage and refinance rates today, Wednesday, July 29, 2026: Rates up across the board ahead of Fed rate decision — Yahoo Finance

Why the USO oil ETF is a better buy than crude futures as the Iran war rages — MarketWatch (Top)

The United States Oil Fund has climbed by 58% since the start of the Iran war, more than double the gain of WTI crude futures.

Here are the last times the Dow dropped by 1,000 points and what happened next — CNBC (Finance)

After the Dow falls by 1,000 points, the index typically is weak in the week that follows. The average then posts gains in the next month and three months.

Qualcomm forecasts weak quarterly profit, expects Apple revenue drop to accelerate — Investing.com

Stocks and bonds see wild ‘Fed Day’ swings as Wall Street’s ‘crash cushion’ evaporates — MarketWatch (Top)

Major equity indexes put in their worst “Fed Day” performance since December 2024, while the yield on the 30-year bond shot higher.

Market Snapshot

Major Indices

Instrument	Price	Change	% Change
S&P 500	7,316.15	-112.63	-1.52%
Nasdaq 100	27,192.31	-570.83	-2.06%
Dow Jones	51,594.14	-1,153.18	-2.19%
Russell 2000	2,906.31	-47.49	-1.61%
VIX	20.66	+2.45	+13.45%

Key Stocks

Instrument	Price	Change	% Change
Nvidia	190.01	-7.00	-3.55%
Microsoft	390.54	-2.81	-0.71%
AMD	429.56	-25.06	-5.51%
Meta	585.61	-7.80	-1.31%
Alphabet	335.76	+3.16	+0.95%
Broadcom	370.32	-10.59	-2.78%
Micron	739.00	-81.53	-9.94%
Intel	81.88	-4.42	-5.12%
SanDisk	1,015.89	-80.21	-7.32%
Coherent	222.05	-21.28	-8.75%
Amazon	226.65	-4.21	-1.82%
Apple	338.19	-1.89	-0.56%
Arm	224.89	-19.85	-8.11%

Commodities & Crypto

Instrument	Price	Change	% Change
Gold	4,150.90	+53.90	+1.32%
Crude Oil	84.34	-0.12	-0.14%
Bitcoin	63,945.00	+97.88	+0.15%

FX Rates

Instrument	Price	Change	% Change
EUR/USD	1.15	+0.00	+0.03%
USD/JPY	163.35	-0.03	-0.02%
GBP/USD	1.34	+0.00	+0.01%

Interest Rates

Instrument	Price	Change	% Change
10Y Treasury Yield	4.62	+0.02	+0.39%
13-Week T-Bill Yield	3.66	-0.10	-2.71%

Analyst Summary

Market Overview

U.S. equities suffered sharp losses Wednesday as the Nasdaq 100 entered correction territory, falling 2.06% and closing 11% below June highs. The S&P 500 dropped 1.52% while the Dow shed 1,153 points (-2.19%) in a broad-based selloff. The VIX surged 13.45% to 20.66, reflecting heightened investor anxiety. Despite strong gains in a handful of mid-cap names—including Huron Consulting (+40.37%), Manhattan Associates (+21.32%), and Lithia Motors (+19.30%)—breadth was decidedly negative.

Fed Decision Triggers Bond Market Revolt

The Federal Reserve held interest rates steady, but the decision sparked a significant bond market reaction that overshadowed the policy itself. Chair Kevin Warsh reiterated that "there is no soft inflation target," yet failed to convince fixed income investors of the Fed's inflation-fighting credibility. The 30-year Treasury yield surged to 5.2%—the highest since 2007—while the 2-year yield fell 6 basis points, producing the steepest yield curve steepening in a year. Three FOMC members dissented in favor of rate hikes, underscoring internal divisions. Bond strategists interpreted the market's response as a direct challenge to Warsh's rhetoric, with mortgage and refinance rates climbing across the board ahead of the decision.

Semiconductor Carnage and AI Spending Doubts

Technology stocks bore the brunt of the selloff, particularly semiconductor and AI-related names. Micron plunged 9.94%, while AMD (-5.51%), Intel (-5.12%), Arm (-8.11%), SanDisk (-7.32%), and Coherent (-8.75%) all posted severe losses. Nvidia declined 3.55%, and Broadcom fell 2.78%. Sector data revealed the damage: Semiconductors/Compute dropped 5.31%, Networking/Interconnect fell 6.34%, and Memory tumbled 3.82%—all significantly underperforming the broader market. Notably, put/call ratios remained extraordinarily low (0.14–0.23) across chip sectors, suggesting the decline occurred without meaningful hedging demand and flows remained "not panicked."

After-hours, Microsoft rallied roughly 3% on better-than-expected Azure cloud revenue growth (43% vs. 40% consensus), while Meta dropped 6.5% on disappointing Q3 guidance despite maintaining elevated capex projections. The divergence highlighted growing investor scrutiny around AI return on investment. Qualcomm also declined on news that its Apple business would end faster than anticipated—by late 2026 rather than 2027.

Cross-Asset Signals and Safe-Haven Flows

Gold climbed 1.32% to \$4,150.90, benefiting from inflation concerns and geopolitical tensions surrounding Middle East energy markets. Bitcoin edged up 0.15%, while crude oil remained essentially flat. The 10-year Treasury yield rose modestly (+0.39%) to 4.62%, while the 13-week T-Bill yield fell 2.71%, reflecting a flight to near-term safety amid Fed uncertainty. Currency markets were largely stable.

Bright Spots in Consumer and SaaS

Amid the tech wreckage, consumer discretionary names posted resilience. Starbucks surged 8% after hours on 7.9% comp sales growth (vs. 5.7% expected) with raised guidance, and Chipotle similarly beat estimates, suggesting robust consumer spending. The SaaS sector rose 4.64% with 78% breadth, standing out as one of the few bullish pockets in an otherwise challenging session.